

Best's Credit Rating Effective Date

January 15, 2026

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Information

[Best's Credit Rating Methodology](#)

[Guide to Best's Credit Ratings](#)

[Market Segment Outlooks](#)

Financial Data Presented

Financial data in this report: (i) includes data of affiliated entities that are not rating unit members where analytics benefit from inclusion; and/or (ii) excludes data of rating unit member entities if they operate in different segments or geographic areas than the Rating Unit generally. See [list of companies](#) for details of rating unit members and any such included and/or excluded entities.

The financial data in this report reflects the most current data available to the Analytical Team at the time of the rating. Updates to the financial exhibits in this report are available here: [Best's Financial Report](#).

Health Care Service Corp Medicare & Supplemental Group

AMB #: 070641

Associated Ultimate Parent: AMB # 009193 -
Health Care Service Corporation, a Mutual Legal Reserve Company

Best's Credit Ratings - for the Rating Unit Members

Financial Strength Rating (FSR)

A
Excellent
Outlook: Stable
Action: Affirmed

Issuer Credit Rating (ICR)

a
Excellent
Outlook: Stable
Action: Affirmed

Assessment Descriptors

Balance Sheet Strength	Very Strong
Operating Performance	Marginal
Business Profile	Neutral
Enterprise Risk Management	Appropriate

Rating Unit - Members

Rating Unit: HCSC Medicare & Supp Group | **AMB #:** 070641

AMB #	Rating Unit Members
008831	Amer Retirement Life Ins Co
064697	Bravo Health Mid-Atlantic
064743	Bravo Health Pennsylvania
068864	HealthSpring HealthCare of CO
060673	HealthSpring L&H Ins Co, Inc.
006203	HealthSpring Natl Health Ins

AMB #	Rating Unit Members
064756	HealthSpring of Florida, Inc.
006671	Loyal American Life Ins Co
010747	Medco Containment Ins Co of NY
006449	Medco Containment Life Ins Co
006932	Provident Amer Life and Health

Rating Rationale

Balance Sheet Strength: **Very Strong**

- The HCSC Medicare & Supplemental Group has a Best's Capital Adequacy Ratio (BCAR) in the strongest category that AM Best expects will be bolstered and supported to maintain the group's balance sheet metrics at favorable levels.
- In addition, capital and surplus growth has historically been supported by fluctuating underwriting results and investment income across most of the entities in the group.
- These entities maintain a prudent and diversified investment portfolio with good credit quality. Nearly all invested assets are held in investment-grade fixed-income securities. AM Best notes that the organization also holds sizable receivables from the federal government related to its Medicare business. Net cash flow from operations remains favorable.
- Liquidity measures remain adequate and are strengthened by access at the lead entity, Health Care Service Corporation (HCSC).

Operating Performance: **Marginal**

- The HCSC Medicare & Supplemental Group will contribute to net premium growth in core target markets for the organization, driven by membership growth across its suite of product offerings.
- Premium growth is expected to continue for all of these lines and help the broader organization offset attrition in its Medicaid line of business, as Medicare-related business has grown and is expected to continue this trend.
- Consolidated underwriting and net income trends have been very challenged by changes to Medicare reimbursement the past few years. Underwriting performance has been unfavorable driven by a higher-than-expected medical cost trend across the majority of its lines of business, and this trend is expected to continue in 2026. Management of its STAR ratings and risk payment across its various Medicare Advantage plans will be paramount as a part of improving future performance.
- Profitability measures have been pressured recently for Medicare Advantage writers; however, the other supplemental products should modestly help provide a natural hedge as these products typically have been more stable.
- Investment income has been steady and has meaningfully contributed to net earnings.

Business Profile: **Neutral**

- HCSC Medicare & Supplemental Group offers Medicare Advantage, Medicare Part D and Medicare Supplement products in numerous states that are outside of the parent's core market.
- The group has exhibited consistent membership growth in its main markets driven by both government, primarily Medicare Advantage, Medicare Supplement, and Medicare Part D, and other supplemental A&H offerings, which should complement and bolster its diversification.
- While competition remains strong in all lines of business, the new entities should help the organization continue to compete well. Given the association with Health Care Service Corporation and its Blue Cross Blue Shield businesses provides a significant competitive advantage for both network relationships and consumer outreach, this should further help with expansion of these business lines.

Enterprise Risk Management: **Appropriate**

- The ERM program will be integrated and managed at the ultimate parent level at HCSC, and it is well developed with a comprehensive risk identification, monitoring, mitigation, and oversight process. The program is evolving to expand the risk assessment process by engaging employees at all levels of the organization.
- Governance includes oversight from the executive leadership team, ERM Steering Committee and the Board of Directors of HCSC.
- HCSC's group-wide stress testing is designed to capture significant risk events, and emerging risks are constantly monitored. Further, the organization performs multiple stress scenario testing to determine the impact on risk-adjusted capitalization. Risk appetite and tolerances extend to various areas of the organization, including operations, strategy, execution and financial condition. Stress and scenario testing is performed annually, and results are included in the Own Risk and Solvency Assessment (ORSA) report.

Rating Lift/Drag

- These entities will be managed under a newly formed intermediate holding company, HCSC Medicare Holdings Inc., with a consolidated cost structure that should lead to improved profitability and economies of scale.

- The HCSC Medicare & Supplemental Group will expand HCSC's geographic presence and diversification with the addition of business outside of its core Blue states.
- Additionally, the new membership base and revenues will aid in providing additional scale and capabilities to HCSC's Medicare Advantage and supplemental health segments.
- The overall HCSC organization will grow financially through future revenue and earnings expansion, and operationally through a broader national footprint with deeper product penetration.
- These entities will also immediately contribute to HCSC's Medicare Advantage growth and market share, which has been a goal over the past few years.

Outlook

- The stable outlooks reflect AM Best's expectation that the group will maintain the very strong balance sheet strength assessment, supported by the favorable enhancement the group provides to HCSC's overall market position in its core Medicare-related markets, as well as the scale and future profitability of its total business.

Rating Drivers

- While unlikely, positive rating movement could occur with continued strengthening of balance sheet strength metrics and operating performance.
- Negative rating movement could occur from lack of operational and financial support from the ultimate parent, Health Care Service Corporation.
- Negative rating movement could occur if there is deterioration of balance sheet metrics, particularly the risk-adjusted capitalization.

Key Financial Indicators

Best's Capital Adequacy Ratio (BCAR) Scores (%)

Confidence Level	95.0	99.0	99.5	99.6
BCAR Score	62.9	46.6	40.3	38.1

Source: Best's Capital Adequacy Ratio Model - Combined Life & Health, US

Year End - December 31

Key Financial Indicators USD (000)	2024	2023	2022	2021	2020
Total Assets	5,692,013	3,188,942	2,826,905	3,048,944	3,360,531
Policy and Claim Reserves:					
Life and Annuity	14,787	13,749	12,525	11,240	9,726
Accident & Health	323,049	321,574	315,464	300,512	274,155
Health	1,393,317	875,163	410,944	929,690	742,110
Capital and Surplus	2,676,360	1,202,319	1,238,770	1,118,899	1,289,098
Total Revenues	9,661,990	7,566,330	7,029,700	9,087,517	8,932,604
Net Income	-283,023	-383,968	181,870	42,456	190,146
Net Operating Cash Flow	-1,415,251	308,800	133,875	-413,299	431,291
Net Premiums Written:					
Life and Annuity	5,328	5,386	5,383	5,563	5,550
Accident & Health	711,348	816,875	795,536	806,426	836,667
Health	8,823,807	6,624,576	6,117,819	8,234,033	8,025,206
NPW Total	9,540,484	7,446,837	6,876,659	9,027,910	8,859,574

Source: BestLink® - Best's Financial Suite



BEST'S CREDIT REPORT

AMB #: 070641 - HCSC Medicare & Supplemental Group

Year End - December 31

Key Financial Ratios

	2024	2023	2022	2021	2020	Weighted Average
Overall:						
Operating Return on Revenue (%)	-2.5	-5.1	2.8	0.5	2.0	-0.5
Operating Return on Capital and Surplus (%)	-12.4	-31.4	16.5	3.5	13.9	-3.0
Health Operations:						
Loss Ratio (%)	83.4	81.3	75.2	79.7	76.0	79.3
Administrative Expense Ratio (%)	15.8	18.4	14.7	13.0	14.3	15.2
Combined Ratio (%)	99.2	99.7	89.9	92.7	90.3	94.5
IBNR Coverage (Days)	22.0	21.2	17.9	29.7	27.6	...

Source: BestLink® - Best's Financial Suite

Credit Analysis

Balance Sheet Strength

Capitalization

HCSC Medicare & Supplemental group maintains sound capital position at over \$2.5 billion and stable risk-adjusted capital levels as measured by its Best's Capital Adequacy Ratio (BCAR). The BCAR has been initially calculated at the strongest level based on projections. The 2024 year-end BCAR was at the strongest level, over 38% at the 99.6 VaR level and the 2025 BCAR dropped in the early part of the year, based on premium growth from novated business from the Cigna acquisition. However, it is projected that with the anticipated parental support throughout this year that the BCAR is expected to improve for the full year-end reported 2025.

While capitalization was previously managed at lower levels for some HCSC Medicare & Supplemental Group entities, capital levels have been bolstered throughout 2025. HCSC has committed to fund additional capital in the future to support growth, novated business and additional projected acquisition related costs and operating losses. HCSC Medicare & Supplemental Group's BCAR is projected to remain at the strongest level in the near-term.

Over the last few years, capitalization has grown organically, outpacing premium growth driven by retained earnings. Underwriting leverage, as measured by its NPW/C&S ratio of 3.6 times, is within normal ranges, but could increase in 2025 with additional premium expansion. The growth of capital and surplus has kept pace with the growth of premium through year-end 2024 across these group's entities on a consolidated basis. Capital growth in the near-term is expected mainly from capital contributions from its ultimate parent, Health Care Service Corp (HCSC).

Year End - December 31

Capital Generation Analysis USD (000)

	2024	2023	2022	2021	2020
Beginning Capital and Surplus	1,219,330	1,272,097	1,118,899	1,288,913	1,324,268
Net Operating Gain	-239,775	-383,314	194,796	42,645	182,084
Net Realized Capital Gains (Losses)	-43,248	-653	-12,925	-189	8,063
Net Unrealized Capital Gains (Losses)	3,370	753	-2,500	-1,082	-1,117
Net Change in Paid-In Capital and Surplus	1,911,000	424,000	127,061	-37,789	-25,000
Net Change in Surplus Notes	...	...	...	...	-900
Stockholder Dividends	-74,000	-78,400	-214,107	-128,011	-229,800
Other Changes	-100,317	-32,170	27,537	-45,600	31,483
Net Change in Capital and Surplus	1,457,031	-69,778	119,870	-170,014	-35,170
Ending Capital and Surplus	2,676,360	1,202,319	1,238,770	1,118,899	1,289,098
Net Change in Capital and Surplus (%)	122.6	-2.9	10.7	-13.2	-2.7
Net Change in Capital and Surplus (5-yr CAGR)	15.1	...	...	...	...

Source: BestLink® - Best's Financial Suite

Balance Sheet Strength (Continued...)

Year End - December 31

Liquidity Analysis (%)

	2024	2023	2022	2021	2020
Overall:					
Operating Cash Flow Margin (%)	-14.6	4.1	1.9	-4.5	4.8
Current Liquidity (%)	95.0	113.9	108.2	90.1	107.0
Health Operations:					
Benefit and Loss Related Payments to Net Premiums Collected (%)	89.7	80.9	85.5	86.0	82.2
General Expenses and Taxes Paid to Net Premiums Collected (%)	26.7	16.4	15.0	19.3	13.9

Source: BestLink® - Best's Financial Suite

Year End - December 31

Leverage (%)

	2024	2023	2022	2021	2020
Debt to Total Capital and Surplus	0.1	3.8	3.3	0.3	0.1
Net Premiums Written to Total Capital and Surplus	3.6	6.2	5.6	8.1	6.9
General Account Liabilities to Total Capital and Surplus	1.1	1.7	1.3	1.7	1.6

Source: BestLink® - Best's Financial Suite

Asset Liability Management - Investments

Invested assets are managed at the parent company level. The investment policy is evaluated regularly and the investment portfolio is monitored for quality and liquidity on an ongoing basis. Investments are managed by external firms with long-term relationships. The organization works closely with investment managers to balance performance while preserving capital under dynamic conditions. AM Best notes that given its primary operations in the Medicare Advantage space, the organization holds sizable receivables from the Federal government related to this business. Net cash flow from operations remains very favorable.

The group mainly invests in fixed-income securities, with nearly all in investment grade bonds, and average credit quality remains very strong. While the group does maintain a higher allocation to NAIC 2's the exposure to higher-risk assets has decreased as, below investment grade holdings in NAIC Class 3 and 4 bonds declined to approximately 1.5% of the fixed-income portfolio in 2024, compared to 11% 2023, and almost 20% the year prior. Over 76% of bonds are publicly placed and 22% are private. Bonds are well diversified by sector. Overall duration relatively stable at 3 - 5 years over the past five-year period.

Year End - December 31

Composition of Cash and Invested Assets

	2024	2023	2022	2021	2020
Total Cash and Invested Assets USD (000)	2,852,954	2,328,962	1,785,207	1,779,780	2,225,317
Composition Percentages (%)					
Cash and Short Term Investments	47.1	35.7	20.8	14.7	31.9
Bonds	52.7	60.8	74.6	82.2	67.0
Mortgage Loans	...	3.4	4.4	3.0	1.0
Other Invested Assets	0.2	0.2	0.1	...	...
Total	100.0	100.0	100.0	100.0	100.0

Source: BestLink® - Best's Financial Suite

Years

Bonds and Short Term Investments - Distribution by Maturity (%)

	0-1	1-5	5-10	10-20	20+	Average (Years)
Government Bonds	20.0	2.6	0.2	...	...	0.9
Government Agencies and Municipal Bonds	0.1	0.2	0.4	...	...	6.0
Industrial and Miscellaneous Bonds	4.9	28.6	42.2	0.7	0.1	5.5
Total Bonds	24.9	31.4	42.8	0.7	0.1	4.4

Source: BestLink® - Best's Financial Suite

Balance Sheet Strength (Continued...)

	Year End - December 31				
Bonds - Distribution by Issuer	2024	2023	2022	2021	2020
Bonds USD (000)	1,502,426	1,415,058	1,331,136	1,463,511	1,492,073
US Government (%)	4.3	4.4	4.5	3.7	3.6
Foreign Government (%)	...	...	...	0.1	0.1
State, Municipal & Special Revenue (%)	0.8	0.9	1.1	1.0	0.8
Industrial & Miscellaneous (%)	94.9	94.8	94.3	95.2	95.5
Total (%)	100.0	100.0	100.0	100.0	100.0

Source: BestLink® - Best's Financial Suite

Operating Performance

The HCSC Medicare & Supplemental group is expected to have a favorable impact on net premium expansion in core target markets for HCSC, driven by membership growth across the suite of product offerings. This should help the broader organization offset attrition in its Medicaid line of business, as growth in the Medicare-related business is expected to continue. While Medicare Advantage (MA) business has been challenged the past couple years, HCSC has shown an historical ability to re-price various business lines to achieve a high level of profitability and while currently challenged solid performance is projected in future years as MA is a scale business and these entities favorably contributed to top line. Although given current market conditions, while earnings are expected to improve in 2026, return to profitability is not expected to occur immediately. The year-end saw higher than expected claims volume due to growth reported through 2025. The group's year-end operating performance reflect pressure from government segment primarily MA, but was somewhat offset by Part D and supplemental accident & health (A&H) lines. The group of companies comprising this rating unit has posted a favorable revenue growth rate over the years and added approximately \$1 billion of revenue over the past five-year period.

AM Best notes that consolidated underwriting and net income trends have been very challenged by changes to Medicare reimbursement and a higher-than-expected medical cost trend, both of which are expected to continue into 2026. Management is focused on premium optimization, Star ratings and risk payment, as well as cost and expense management and efficiencies across its various Medicare Advantage plans as a part of improving future performance. Investment income has been steady and will remain a meaningful contributor to net earnings.

Both 2023 and 2024 were challenging years for MA writers, and these trends continued to worsen in 2025. Emerging claims experience includes a pharmacy utilization uptick; medical cost inflation & macro environmental issues. There have also been pricing and reimbursement challenges with CMS STARS bonuses and risk-adjustment payments. HCSC is expected to bring the businesses back to profitability over time. However, overall underwriting income was unfavorable across the MA, Medicare supplement and other health lines as reported in 2024 and this trend continued in 2025. The company is making sizable investments in the business to achieve greater operational efficiency and further increase the value proposition of its MA and related supplemental health lines of business.

Profitability measures have historically remained solid over the years for the life entities in the group, but vary widely between the "Life/Health" (Blue book filers) and Health only statutory filings, with thinner profitability ratios reported in the health entities. While profitability measures have been pressured recently for MA writers, the other supplemental products modestly help provide a natural hedge as these products typically have been more favorable with stable results.

	Year End - December 31				
Net Operating Gain by LOB - Life Operations USD (000)	2024	2023	2022	2021	2020
Individual Life	738	340	-285	-196	-240
Group Life	...	2	3	2	2
Individual Annuities	15	8	8	16	13
Accident & Health	118,969	33,840	40,125	36,785	61,619
Other Lines of Business	...	113	-2	-9	...
Total	119,722	34,303	39,849	36,599	61,394

Source: BestLink® - Best's Financial Suite

Operating Performance (Continued...)

Year End - December 31

Net Underwriting Gain - Health Operations USD (000)	2024	2023	2022	2021	2020
Comprehensive	...	...	-78	110	-303
Dental	-4	...	...	...	...
Medicare	-397,533	-481,278	10,063	-42,787	142,680
Medicare Supplement	-100,262	...	...	...	...
Medicaid	-684	-755	71,881	-18,357	-18,275
Other Health	-41,943	-86,126	43,615	29,825	33,627
Other Non-Health	...	...	-4	-34	2
Total	-540,296	-568,076	125,477	-31,243	157,730

Source: BestLink® - Best's Financial Suite

Business Profile

HCSC Medicare & Supplemental Group's core offerings are Medicare Advantage, Medicare Part D and Medicare Supplement products, which are offered across numerous states that are outside of the parent's core market. The group has exhibited consistent historical membership growth in its main markets driven by government business, primarily Medicare Advantage, Medicare supplement and Medicare Part D, and other supplemental accident & health (A&H) offerings, which should complement and bolster its diversification.

The business profile will be further enhanced by the offering of these diversified health insurance products. HCSC Medicare & Supplemental Group has exhibited consistent membership growth in its main markets driven by both government and supplemental health through 2025. The Medicare Advantage, Medicare supplement, Part D and other supplemental accident & health offerings should complement and bolster the overall organizations diversification.

The broader HCSC organization will have more of a nationwide presence with the addition of the Medicare Advantage & Supplement Group of companies. These entities will also contribute to elevating its market leading position in all five core states in which it operates, but to an even greater extent to its national footprint. HCSC Medicare & Supplemental Group has exhibited consistent membership growth.

Year End - December 31

Net Premiums Written by Line of Business USD (000)	2024	2023	2022	2021	2020
Individual Life	5,328	5,386	5,383	5,563	5,550
Accident & Health	711,348	816,875	795,536	806,426	836,667
Comprehensive	-2	903	1,166	1,195	1,537
Dental	24	...	...	...	...
Medicare	6,231,480	6,407,371	5,798,532	6,502,386	6,165,879
Medicare Supplement	801,479	...	...	...	...
Medicaid	-601	-3,225	25,322	943,425	990,269
Other	1,791,427	219,527	292,799	787,027	867,521
Total	9,540,484	7,446,837	6,876,659	9,027,910	8,859,574

Source: BestLink® - Best's Financial Suite

Enterprise Risk Management

ERM is being integrated and managed at the ultimate parent level, at Health Care Service Corporation(HCSC), and is well developed with a comprehensive risk identification, monitoring, mitigation, and oversight process. The program is evolving to expand the risk assessment process by engaging employees at all levels of the organization. Governance includes oversight from the executive leadership team, ERM Steering Committee and the Board of Directors of HCSC.

HCSC has a well-defined comprehensive Enterprise Risk Management (ERM) Program. The company's ERM program includes all levels of the organization including the Board of Directors and senior management with clearly defined roles for accountability. The program is managed through the ERM Steering Committee and has dedicated staff. The goal has been to move the ERM program down

Enterprise Risk Management (Continued...)

throughout the organization and expand participation with extended risk assessment. The annual survey process was adjusted to include wider participation.

Reinsurance Summary

The organization has a low level of reinsurance ceded.

Environmental, Social & Governance

The ESG policies and procedures, including governance for the entities in this group managed at the parent HCSC. AM Best believes that there is low risk to ESG factors at this time and that HCSC has limited exposure to ESG factors. Credit quality, investment risk, and underwriting activities are also viewed as having limited ESG risk.

Rating Lift/Drag

These entities benefit from rating enhancement as part of the parent HCSC, which is expected to provide financial support if necessary. The group will be managed under a newly formed intermediate holding company HCSC Medicare Holdings, Inc., with a consolidated cost structure, which should lead to improved profitability and economies of scale over time.

The HCSC Medicare & Supplemental Group will expand HCSC's geographic presence and diversification with the addition of business outside of its core Blue states. Additionally, the new membership base and revenues will aid in providing additional scale and capabilities to HCSC's Medicare Advantage and supplemental accident & health segments.

The overall HCSC organization's will grow financially through future revenue and earnings expansion, and operationally through a broader national footprint with deeper product penetration. These entities will also immediately contribute to HCSC's MA growth and market share position, which has been a goal for HCSC over the past few years.

Financial Statements

Year End - December 31

	2024		2023	
Balance Sheet	USD (000)	%	USD (000)	%
Cash and Short Term Investments	1,343,786	23.6	830,758	26.1
Bonds	1,502,426	26.4	1,415,058	44.4
Preferred and Common Stock	...	...	87	...
Other Invested Assets	6,742	0.1	83,059	2.6
Total Cash and Invested Assets	2,852,954	50.1	2,328,962	73.0
Premium Balances	248,653	0.5	8,488	0.2
Healthcare and Other Receivables	685,288	12.0	289,754	9.1
Other General Account Assets	1,905,119	33.5	561,738	17.6
Total General Account Assets	5,692,013	100.0	3,188,942	100.0
Total Assets	5,692,013	100.0	3,188,942	100.0
Policy and Claim Reserves	1,731,153	30.4	1,210,486	38.0
Asset Valuation Reserve	4,872	0.1	4,647	0.1
Accrued Expenses and Other General Account Liabilities	1,279,628	22.5	788,564	24.7
Total General Account Liabilities	3,015,653	53.0	1,986,623	62.3
Total Liabilities	3,015,653	53.0	1,986,623	62.3
Surplus Notes	1,600	...	1,600	0.1
Capital Stock	16,901	0.3	16,901	0.5
Paid-In and Contributed Surplus	3,130,474	55.0	1,219,474	38.2
Unassigned Surplus	-472,615	-8.3	-35,656	-1.1
Total Capital and Surplus	2,676,360	47.0	1,202,319	37.7
Total Liabilities, Capital and Surplus	5,692,013	100.0	3,188,942	100.0

Source: BestLink® - Best's Financial Suite

Year End - December 31

Income Statement USD (000)	2024	2023
Net Premiums Earned	9,528,197	7,446,837
Other Revenues	2,426	10,973
Net Investment Income	131,367	108,520
Total Revenues	9,661,990	7,566,330
Net Incurred Benefits	8,460,476	6,646,354
Commissions and Expense Allowances	78,584	93,635
Insurance and Other Expense	1,473,119	1,347,592
Pre-Tax Net Operating Gain	-350,189	-395,945
Income Taxes Incurred	-110,414	-12,631
Net Operating Gain	-239,775	-383,314
Net Realized Capital Gains (Losses)	-43,248	-653
Net Income	-283,023	-383,968

Source: BestLink® - Best's Financial Suite



BEST'S CREDIT REPORT

AMB #: 070641 - HCSC Medicare & Supplemental Group

Year End - December 31

Statement of Operating Cash Flows USD (000)

	2024	2023
Net Premiums Collected	9,329,049	7,661,312
Other Revenue Received	-18,485	2,505
Net Investment Income	126,432	99,944
Total Income Collected	9,436,996	7,763,760
Net Benefits and Loss Related Payments	8,365,912	6,195,541
Underwriting and Other Expenses Paid	2,530,257	1,242,918
Income Taxes Paid (Recovered)	-43,922	16,501
Net Operating Cash Flow	-1,415,251	308,800

Source: BestLink® - Best's Financial Suite

Related Methodology and Criteria

[Best's Credit Rating Methodology, 08/29/2024](#)

[Available Capital and Insurance Holding Company Analysis, 09/18/2025](#)

[Scoring and Assessing Innovation, 02/20/2025](#)

[Understanding BCAR for US and Canadian Life/Health Insurers, 10/09/2025](#)

A Best's Financial Strength Rating opinion addresses the relative ability of an insurer to meet its ongoing insurance obligations. The ratings are not assigned to specific insurance policies or contracts and do not address any other risk, including, but not limited to, an insurer's claims-payment policies or procedures; the ability of the insurer to dispute or deny claims payment on grounds of misrepresentation or fraud; or any specific liability contractually borne by the policy or contract holder. A Financial Strength Rating is not a recommendation to purchase, hold or terminate any insurance policy, contract or any other financial obligation issued by an insurer, nor does it address the suitability of any particular policy or contract for a specific purpose or purchaser.

A Best's Issue/Issuer Credit Rating is an opinion regarding the relative future credit risk of an entity, a credit commitment or a debt or debt-like security.

Credit risk is the risk that an entity may not meet its contractual, financial obligations as they come due. These credit ratings do not address any other risk, including but not limited to liquidity risk, market value risk or price volatility of rated securities. The rating is not a recommendation to buy, sell or hold any securities, insurance policies, contracts or any other financial obligations, nor does it address the suitability of any particular financial obligation for a specific purpose or purchaser.

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